EXECUTIVE SUMMARY

1. Introduction

The township of Aparri, Cagayan is a busting FIRST CLASS MUNICIPALITY located at the northernmost tip of Luzon Island 595 kilometers from Manila. It is a coastal community situated at the mouth of the mighty Cagayan River diving it into two geographic areas – **Aparri East** and **Aparri West**. The municipality is composed of **42** barangays sprawled within its 27,600.88 hectare land area with a population of **68,056** inhabitants. The town proper is made up of **15** Centro block units, the rest in its immediate environs and the west barangays including the island of barangay Fuga.

Records show that through its fast and ever changing economic and political development, the municipality was awarded by institutions, both private and public, as follows:

1. Top 1 in Real Property Units.
2. Top 3 LGU in Market Value.
3. Certificate of Recognition symbolizing the Municipality's commitment towards good local governance and for passing two out of six Local Governance Assessment Areas for the year 2016.
4. Certificate of Award in Community Fish Landing Center for the year 2016
5. Gawad Parangal at Pagkilala bilang isa sa 100 Nangungunang Munisipyo/ Lungsod (BOATR Program) mula sa Kagawaran ng Pagsasaka, Kawanihan ng Pangingisda at Yamang Tubig para sa Mabilis na Pagkumpleto ng Municipal Fishing Vessels and Gears Registry.
6. Anti- Red Tape Act (ARTA) Report Card Survey- Report of Findings with a Final Rating of EXCELLENT
7. 2016 2nd Place Green Banner Award for Nutrition- Municipal Nutrition Committee

A financial and compliance audit was conducted on the accounts and operations of the Municipality of Aparri for the period ended December 31, 2016. The audit was aimed at ascertaining the propriety of disbursement, the adequacy of accounting books and records and the reliability of financial reports. Likewise, the audit was conducted to identify the practices that require compliance with laws, rules and regulations for the purpose of recommending measures to correct them. We rendered a qualified opinion on the financial statements due to the non-submission of accounts and financial reports on time by the Municipality; hence accuracy of financial records could not

be determined, thus affecting the fair presentation of the accounts in the financial statements.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2016, were P511,811,904.45, P96,233,448.22 and P415,578,456.23, with an increase of 91.24%, 56.32% and 101.68%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P180,564,851.93 and P119,976,852.71, which increase by 9.81% and 12.64% respectively from last year's figures.

	2016	2015	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	511,811,904.45	267,622,525.39	244,189,379.06	91.24%
Liabilities	96,233,448.22	61,561,326.53	34,672,121.69	56.32%
Govt. Equity	415,578,456.23	206,061,198.86	209,517,257.37	101.68%
Financial Performance				
Income	180,564,851.93	164,430,606.46	16,134,245.47	9.81%
Expense	119,976,852.71	106,512,115.72	13,464,736.99	12.64%
Appropriations, Allotments and Obligation				
Appropriations	171,963,860.00	185,377,081.07	(13,413,221.07)	(7.24%)
Allotments	171,963,860.00	185,227,081.07	(13,263,221.07)	(7.16%)
Obligations	99,265,497.71	115,501,367.74	(16,235,870.03)	(14.06%)

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the financial statements due to the non-deduction of advance payments from the periodic progress payments of projects, hence accuracy of financial records could not be determined, thus affecting the fair presentation of the accounts in the financial statements.

4. Significant Findings and Recommendations

a. Financial reports of the Municipality of Aparri were not submitted on time to the Auditor contrary to Section 122 of Presidential Decree 1445 and Section 97 of PD

10717 known as the General Appropriations Act of 2016 resulting to the late communication of defects or deficiencies noted in audit.

We recommended that the Municipal Accountant submit the financial reports of the Municipality within the deadline set by the Commission so that management will be informed early of any defects and/or deficiencies noted in the audit pursuant to the above sited rules and regulations.

b. Calamity Relief Assistance and Service Excellence Incentive to officials and employees of the Municipality totaling P1,310,000.00 and P3,792,188.33, respectively were paid contrary to Section 12 of Republic Act (RA) No. 6758, Section 2 of Administrative Order (AO) No. 37 dated November 21, 1998 and COA Circular No. 2013-003 dated January 30, 2013.

We recommended management the following:

1.Adhere strictly to Section 12 of Republic Act (RA) No. 6758, Section 2 of Administrative Order (AO) No. 37 dated November 21, 1998 and COA Circular No. 2013-003 dated January 30, 2013 on the grant of additional benefits/ incentives to LGU employees.

2.Submit legal basis for authorizing the grant of Calamity Assistance and Service Excellence Incentive for CY 2016, otherwise, the amount shall be disallowed in audit.

c. Financial Assistance given to seven (7) People's organizations totaling P1,296,975.00 were not supported with required documents contrary to Section 2.2 of COA Circular No. 2012-001 dated June 14, 2012 and Section 5.1 of COA Circular No. 2007-001 dated October 25, 2007.

We recommended that Management require the submission of Liquidation Reports and Financial Statements as required in the Memorandum of Agreement and under Section 2.2 of COA Circular No. 2012-001 dated June 14, 2012 and Section 5.1 of COA Circular No. 2007-001 dated October 25, 2007 for proper review and evaluation.

d. Advance Payments to contractors totaling P8,627,121.40 were not deducted from the periodic progress made, contrary to Section 4.3 of Annex "E" of the Revised Guidelines for the Procurement of Infrastructure Projects (Republic Act 9184), hence, immediate recovery of the amount by the government was not achieved.

We recommended that the concerned officials follow strictly the provisions on advance payments to contractors/suppliers for infrastructure projects/goods and services to avoid overpayment of claims and for immediate recovery of the amount paid.

5. Status of Suspensions and Disallowances

Suspensions and Disallowances amounting to P 708,835.36 and P1,352,788.38, respectively, remained unsettled as of December 31, 2016.

Settlement of Suspensions and Disallowances is shown on table below:

	Beginning Bal. (As of January 01, 2016)	This Period January 01 – December 31, 2016 (See B Below)		Ending balance (As of December 31, 2016)
		NS/ND/NC	NSSDC	
Notice of Suspension	4,758,522.50	1,231,463.58	5,281,150.72	708,835.36
Notice of Disallowance	1,252,494.11	467,903.53	367,609.26	1,352,788.38
Notice of Charge	-			-
Total	**6,011,016.61**	**1,699,367.11**	**5,648,759.98**	**2,061,623.74**

We recommended management to settle audit suspensions within the ninety- day period to avoid maturing suspensions into disallowances.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the twelve (12) audit recommendations of prior year's report, seven (7) were fully implemented and five (5) were partially implemented as of the year ended.